

26STCV05567 26STCV05567

County: los-angeles

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Case Number: 26STCV05567 Hearing Date: September 15, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: September 15, 2026

Case Name: Food Camp Corporation v.

Orion Corporation, et al.

Case No.: 26STCV05567 Matter: Motion for Stay of Proceedings

Moving

Party: Defendants Orion

F&B U.S. Inc. and Orion Corporation

Responding Party: Plaintiff Food Camp Corporation

Tentative

Ruling: Defendants Orion F&B

U.S. Inc. and Orion Corporation's motion for a stay is denied.

Plaintiff Food

Camp Corporation ("Plaintiff") brought this action against Defendants Orion

F&B U.S. Inc. ("F&B") and Orion Corporation ("Orion Corp.")

(collectively, "Defendants"). The Complaint alleges three causes of action for:

(1) breach of contract; (2) breach of contract; and (3) tortious interference.

On July 10,

2026, the Court denied Defendants' motion to compel arbitration.

On July 24,

2026, Defendants filed a notice of appeal.

Defendant

moves to stay the proceedings pending the resolution of Defendant's appeal.

Plaintiff opposes.

Legal Standard

"Trial

courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency." (Freiberg v. City of Mission Viejo (1995) 33 Cal.App.4th 1484, 1489.) They also have inherent powers to manage and fashion procedures to control litigation and ensure the orderly administration of justice. (Cottle v. Superior Court (1992) 3 Cal.App.4th 1367, 1376-79; see also Code Civ. Proc., § 128, subd. (a)(3) and (a)(5).)

Analysis

Defendants

contend that "irreparable harm will result absent a stay, that judicial efficiency and economy warrant a stay, that the benefits of arbitration will be lost to the parties if they must continue to litigate in this court while the Court of Appeal considers the threshold question of arbitrability, that Code of Civil Procedure section 1294, subdivision (a) preserves this Court's discretion to stay these proceedings during the pendency of Defendants' appeal, and that the considerations the Legislature identified in enacting that provision warrant a stay here. (Notice, 1:10-16 (emphasis added).)

Under Code

of Civil Procedure section 1294, "[a]n aggrieved party may appeal from: (a) An order dismissing or denying a petition to compel arbitration. Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceeding in the trial court during the pending of the appeal." (Code Civ. Proc., § 1294, subd. (a).) As such, Code of Civil Procedure section 1294 directly overrides the general automatic stay provision in Code of Civil Procedure section 916. However, "[e]ven when the statutes do not call for an

automatic stay on appeal, the trial and appellate courts both have the power to issue discretionary stays.” (Daly v. San Bernardino County Bd. of Supervisors (2021) 11 Cal.5th 1030, 1039.)

As

an initial matter, Defendants argue that Coinbase holds that the benefits of arbitration will be lost if the stay is not granted pending the appeal. (Mot., 5:24-28.) However, the Supreme Court held that district courts must “stay its proceedings while the interlocutory appeal on the question of arbitrability is ongoing.” (Coinbase, Inc. v. Bielski (2023) 599 U.S. 736, 744.) Thus, Coinbase does not hold that this Court must stay the present case.

The burden

is on Defendants to establish that a stay is warranted, not Plaintiff.

Defendants’ primary argument is that a stay would avoid litigation costs and that its request for a stay is not a delay tactic. The Court is not persuaded that Defendants have sufficiently demonstrated a basis for the Court to exercise its discretion and grant the stay.

Thus,

Defendants’ motion is denied.

Conclusion

Defendants

Orion F&B U.S. Inc. and Orion Corporation's motion for a stay is denied.